BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

January 2020

Prepared Supplemental Testimony
of:

Staff Rates Panel

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Q. Members of the Department of Public Service Staff (Staff) Rates Panel (Panel), please state your names.

A. Our names are Scott McAdoo, Jennifer Park, Mingdi Huang, and John Vecchio.

Q. Did the members of the Panel previously file testimony in this case?

A. Yes. We provided pre-filed direct testimony, also as the Staff Rates Panel, on August 30, 2019.

Q. What is the purpose of the Panel's testimony in this proceeding?

A. Our testimony will address the Second Supplemental Testimony of Theodore Poe, Jr. and the Second Supplemental Testimony of the Revenue Requirements Panel, filed on behalf of The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies). We will discuss the following: (1) corrections to our pre-filed direct testimony and modeling errors; (2) the sales forecast based upon the Companies' second supplemental filing, in terms of meter counts and usage; and

(3) the gas delivery revenues at current rates for the Rate Year, also based upon the Companies' second supplemental filing.

Q. In your testimony, will you refer to, or otherwise rely upon any information obtained through discovery in this proceeding?

A. Yes, our testimony will refer to Company responses to Staff's Information Requests (IRs). These responses are contained in Exhibit___(SRP-11). We will refer to these responses by the designation given when sent, e.g., DPS-123.

Q. Are you sponsoring any other exhibits?

A. Yes. We are sponsoring five additional exhibits:

- Exhibit___(SRP-12) contains our sales forecast;
- Exhibit___(SRP-13) contains our revenue price-outs;
- Exhibit___(SRP-14) contains our revenue allocations;
- Exhibit___(SRP-15) contains our rate designs; and,
- Exhibit___(SRP-16) contains our calculated bill impacts.

Corrections and Updates

Q. Does the Panel have any corrections to their previous testimony?

A. Yes. Our pre-filed testimony contained three errors: (1) the KEDNY depreciation expense was incorrect; (2) modeling errors subsequently identified by the Companies; and (3) the exclusion of additional minimum charge revenue.

Q. Please explain the KEDNY depreciation expense error.

A. On line 7 of page 26 of our pre-filed direct testimony, the reduction to KEDNY's proposed depreciation expense should be $13.7 million instead of $14.6 million. The corresponding revised Exhibits were provided to the Companies in the response to IR NG-14, which is included in our Exhibit___(SRP-11).

Q. Please explain the modeling errors identified by the Companies.

A. We inadvertently did not include SC No. 4, SC No. 7, SC No. 12 and SC No. 13 revenues for KEDLI and provided incorrect revenues to the Staff Revenue Requirement Panel for KEDNY and KEDLI. We explained the modeling errors and the

corrections in the response to IR NG-02, included in our Exhibit___(SRP-11).

Q. Please explain the exclusion of additional minimum charge revenue.

A. According to the response to IR DPS-1027, because the Companies' minimum charges are prorated based on 30 days of service, the Companies increased their minimum charge revenues to reflect that there are 365, not 360 days in the year. The Companies increased the minimum charge revenues by 1.3889%, or 365 days divided by 360 days, to account for the additional five days of service that are billed each year.

Response to Second Supplemental Filing

Q. What was the purpose of the Companies' second supplemental filings?

A. The Companies updated their cases to reflect their agreement to lift the moratorium on new gas customer connections that had been in place since May 2019. The Commission adopted this agreement in its Order Adopting and Approving Settlement, issued and effective November 26,

2019, in Case 19-G-0678 (19-G-0678 Order).

Q. Would you like to address any other events that occurred subsequent to the filing of your pre-filed direct testimony?

A. Yes, the Commission issued its Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025, issued January 16, 2020, in Case 18-M-0084 (18-M-0084 Order). That Order updates the incremental energy efficiency budgets and projected gas usage reductions for KEDNY and KEDLI in calendar years 2021 through 2025.

Q. What do you want to address in response to these occurrences?

A. We would like to address the impacts of these occurrences on our sales forecast, Rate Year revenues, rate design, and bill impacts.

Sales Forecast

Q. What adjustments did the Companies make to their sales forecasts in their Second Supplemental Testimonies?

A. The Companies testified that customers and volumes will increase at the growth rates used

in the sales forecasts provided by the Companies in their Corrections and Updates (C&U) testimonies. The Companies used their C&U sales forecasts as a base, which assumed no restrictions on customer growth or usage and included a reduction in Temperature Controlled (TC) and Interruptible (IT) customers due to historic trends. Thus, the only updates made to the C&U forecasts were to reflect the impact of energy efficiency and demand response programs as provided for in the 19-G-0678 Order. The updates resulted in a decrease in usage from 1,689,417,139 to 1,689,187,510 therms for KEDNY and from 1,059,164,436 to 1,058,941,852 therms for KEDLI in the Rate Year.

Q. Describe how the Companies calculated and integrated the impact of the energy efficiency and demand response programs from the 19-G-0678 Order.

A. According to the response to IR DPS-1057, KEDNY reduced its residential volumes in 2019 by 86,000 therms and its commercial volumes in 2019 by 144,000 therms, for a total reduction of 230,000 therms. KEDLI reduced its 2019

residential volumes by 167,000 therms and its commercial volumes in 2019 by 56,000 therms, for a total reduction in 2019 of 223,000 therms. The Companies assumed that the load reduction will apply to the 2019/2020 winter and continue to subsequent winters. The Companies applied these usage reductions to the corresponding residential and commercial forecasting groups before those volumes were assigned to rate codes. The Companies did not make any usage reductions based on their demand response programs, as those programs were designed to reduce load on design days and the forecasts are based on normal weather.

Q. Does the Panel agree with the Companies' sales forecasts?

A. No.

Q. Please explain.

A. Per the response to IR DPS-1057, the Companies' forecasts do not reflect the existence or effects of the moratorium. In addition, the Panel does not agree that the non-firm customer count will decrease over the Rate Year, as the Companies have forecasted. Finally, the

Companies' forecast should be updated to reflect the 18-M-0084 Order's increased incremental energy efficiency gas usage reductions. The Commission issued that order after the Companies made their second supplemental filing.

Q. Why does the Panel disagree that the number of non-firm customers will decrease?

A. Based on the 19-G-0678 Order, the Companies will increase their energy efficiency and demand response programs. Thus, we would expect the number of non-firm customers, who are demand response customers, to increase rather than decrease.

Q. What does the Panel recommend?

A. We recommend that the Companies' sales forecasts be adjusted to account for the effects of the moratorium, the growth of the non-firm service classes, and the increased incremental energy efficiency gas usage reductions from the 18-M-0084 Order.

Q. Describe the adjustment made to account for the moratorium.

A. We updated the Companies sales forecasts to include the actual meter counts from January

2019 to November 2019, provided in the response to IR DPS-1063. From December 2019 on, we applied the forecasted monthly change in customers to maintain the forecasted growth. We used the forecasted monthly use-per-customer (UPC), with the adjusted customer count, to determine the corresponding change in usage.

Q. Describe the adjustment made to account for the growth of non-firm service classes.

A. Instead of forecasting a decline in non-firm customers, we maintained the historical proportion of non-firm customers to the number of customers in the otherwise applicable firm commercial and multi-family service classes. In the response to IR DPS-1063, the Companies provided the number of non-firm customers that converted to firm service from 2014 to 2019 for KEDNY and from 2015 to 2019 for KEDLI. We removed the monthly average of non-firm customer conversions to firm service from the otherwise applicable firm service class. We did this to account for the Companies' practice of independently forecasting the customer counts for the firm and non-firm service classes, which

does not track the number of non-firm customers converting to firm service. As with the moratorium adjustment, we applied the forecasted monthly UPC to the adjusted customer count to determine the corresponding change in usage.

Q. Describe the adjustment made to account for the increased energy efficiency gas targets implemented in the 18-M-0084 Order.

A. We allocated the increase in incremental gas usage reduction targets for the Companies in the same manner and proportion as the Companies allocated the impact of the energy efficiency and demand-response programs from the 19-G-0678 Order.

Q. What are the effects of the Panel's adjustments?

A. As seen in Exhibit___(SRP-12), our adjustments reduce KEDNY's forecast of the Rate Year total customer count from 1,270,947 customers to 1,262,868 and increased its forecast of Rate Year total usage from 1,689,187,510 therms to 1,695,499,873. For KEDLI, we decreased the forecast of the Rate Year total customer count from 611,127 customers to 610,765 and decreased the forecast of Rate Year total usage from

1,058,941,852 therms to 1,051,576,413.

Q. Explain why KEDNY's forecasted customer count decreased but its forecasted total usage increased.

A. Our adjustments increased the customer count of certain service classes while decreasing others, ultimately resulting in a net reduction in the number of customers. However, the UPC of the service classes with increased customer counts are higher than the UPC of the service classes with decreased customer counts. Ultimately, this caused an increase in total usage.

Rate Year Revenues, Rate Design and Bill Impacts

Q. Did the Companies update their revenue forecasts provided in its second supplemental filing?

A. Yes. The Companies corrected their revenue forecasts for erroneous KEDNY commodity revenues and KEDLI GRT revenues explained in the response to IR DPS-1061.

Q. Does the Panel agree with the Companies' corrected revenue forecasts?

A. No. We further updated the Companies' sales forecasts, which results in updated revenue

forecasts.

Q. Did the Panel update its revenue price-outs to account for its updated sales forecast and the 18-M-0084 Order?

A. Yes. We included the updated Rate Year revenue forecasts in Exhibit___(SRP-13).

Q. Did the Panel update the revenue allocation, rate design and bill impacts to reflect the revenue requirement in the supplemental testimony of the Staff Revenue Requirements Panel?

A. Yes. The updated revenue allocations are in Exhibit___(SRP-14), the rate designs are in Exhibit___(SRP-15), and the bill impacts are in Exhibit___(SRP-16).

Q. Does this conclude your testimony at this time?

A. Yes.